

Question 1 of 12

Question ID: 1575105

Among the types of assets that trade in organized markets, asset-backed securities are *best* characterized as:

- ☐ **A)** real assets.
- ☐ **B)** equity securities.
- ☐ **C)** pooled investment vehicles.

Question 2 of 12

Question ID: 1575106

Financial intermediaries that buy securities from and sell securities to investors are *best* described as:

- ☐ **A)** dealers.
- ☐ **B)** brokers.
- ☐ **C)** investment bankers.

Question 3 of 12

Question ID: 1575107

An investor purchased 550 shares of Akley common stock for \$38,500 in a margin account and posted initial margin of 50%. The maintenance margin requirement is 35%. The price of Akley, below which the investor would get a margin call, is *closest* to:

☐ A) \$45.00.

☐ B) \$54.00.

☐ C) \$59.50.

Question 4 of 12

Question ID: 1575108

An index of three non-dividend paying stocks is weighted by their market values. One of the index stocks splits 2-for-1 during the year, but no shares are sold. The total return of this index for the year is:

- ☐ **A)** less than the price return of the index.
- ☐ **B)** equal to the price return of the index.
- ☐ **C)** greater than the price return of the index.

Question 5 of 12

Question ID: 1575109

Which of the following market indexes is likely to be rebalanced *most* frequently? An index that is:

☐ **A)** price weighted.

☐ **B)** value weighted.

☐ **C)** equal weighted.

Question 6 of 12

Question ID: 1575110

Compared to a passive investment strategy, active management, on average:

- ☐ **A)** cannot outperform if markets are weak-form efficient.
- ☐ **B)** can outperform if markets are weak-form efficient but not semistrong-form efficient.
- ☐ **C)** can outperform if markets are semistrong-form efficient but not strong-form efficient.

Question 7 of 12

Question ID: 1575111

Assuming the value effect persists over time, which of the following strategies would be *most likely* to earn positive abnormal returns? Purchase stocks with:

- ☐ **A)** low dividend yields.
- ☐ **B)** high market-to-book ratios.
- ☐ **C)** low price-to-earnings ratios.

Question 8 of 12

Question ID: 1575112

Which of the following statements about preference shares is *most accurate*?

- ☐ **A)** Cumulative preference shares allow investors to receive the standard preferred dividend, plus a share of corporate profits above a prespecified amount.
- ☐ **B)** Participating preference shares require that any omitted dividend payments must be paid before another dividend can be paid to common shareholders.
- ☐ **C)** Nonparticipating preference shares permit investors to receive in the event of liquidation only the initial investment plus any accrued dividends.

Question 9 of 12

Question ID: 1575113

The industry that is classified the more cyclical sector under a commercial industry classification scheme is:

☐ **A)** personal care products.

☐ **B)** food.

☐ **C)** apparel.

Question 10 of 12

Question ID: 1575114

Which of the factors that determine the intensity of industry competition is *most likely* to be affected by the presence of significant economies of scale?

☐ **A)** Threat of entry.

☐ **B)** Threat of substitutes.

☐ **C)** Power of suppliers.

Question 11 of 12

Question ID: 1575115

Rogers Partners values stocks using a dividend discount model and the CAPM. Holding all other factors constant, which of the following is *least likely* to increase the estimated value of a stock?

☐ **A)** An increase in the next period's expected dividend.

☐ **B)** A decrease in the stock's systematic risk.

☐ **C)** A decrease in the expected growth rate of dividends.

Question 12 of 12

Question ID: 1575116

Brandy Clark, CFA, has forecast that Aceler, Inc., will pay its first dividend two years from now in the amount of \$1.25. For the following year, she forecasts a dividend of \$2.00 and expects dividends to increase at an average rate of 7% for the foreseeable future after that. If the risk-free rate is 4.5%, the expected market risk premium is 7.5%, and Aceler's beta is 0.9, Clark would estimate the current value of Aceler shares as being *closest* to:

☐ A) \$37.

☐ B) \$39.

☐ C) \$47.